MGU-BVOC (HONOURS) REGULAR EXAMINATION November 2025

First semester

MG1SDCBTX101-FUNDAMENTALS OF ACCOUNTING

B.VOC Accounting and Taxation

Duration: 2 hours **Max.Marks:70**

Part A

Answer the following questions

1. Define accounting.
   Definition by the American Institute of Certified Public Accountants (Year 1961): "Accounting is the art of recording, classifying and summarizing in a significant manner and in terms of money, transactions and events which are, in part at least, of a financial character, and interpreting the result thereof".
   Accounting is the systematic process of recording, classifying, summarising, and interpreting financial transactions to provide useful information for decision-making.
2. What is a contra entry? Give two examples
   A contra entry is a transaction recorded on both sides of the cash book, affecting both cash and bank columns simultaneously. Examples: (i) Cash deposited into bank; (ii) Cash withdrawn from bank for office use.
3. What is rectifying entry for credit sale to ram 170 omitted to be recorded?
   The rectifying entry is: **Ram's Account Dr. ₹170 / To Sales Account ₹170**.
4. What is a reserve?
   A reserve is an appropriation of profit retained to meet future contingencies, strengthen financial position, or finance future expansion.
5. Give two examples of Direct expenses
   Examples: (i) Wages; (ii) Carriage inwards.
6. Who are the users of accounting?
   Users include internal users such as management and employees, and external users such as investors, creditors, government, and customers.
7. Cash column in cash book cannot have negative balance. Why?
   Because cash cannot be spent more than what is physically available, so cash balance cannot fall below zero.
8. What are errors not affecting trial balances?
   These are errors that impact both debit and credit equally, such as errors of omission, commission, principle, and compensating errors.
9. State the treatment of the following adjustments while preparing final accounts
   Depreciation on fixed assets

Depreciation is charged as an expense in the Profit and Loss Account and deducted from the respective asset in the Balance Sheet.

10. Explain prudence principle?
    The prudence principle requires recognising expenses and losses immediately when they are probable, and recognising incomes and gains only when they are certain.
11. If Assets = 80,000 and Liabilities = ₹25,000, what is the Capital
    Capital = ₹55,000
12. What is a Petty Cash Book and what are its advantages?
    A Petty Cash Book records small, routine cash payments; its advantages include better control over minor expenses and reduced burden on the main cash book.
13. Discuss the difference between a Trial Balance and a Balance Sheet.
    A Trial Balance checks the arithmetic accuracy of ledger balances, while a Balance Sheet presents financial position by showing assets, liabilities, and capital.
14. What is the purpose of preparing a Trading Account?
    The Trading Account is prepared to determine the gross profit or gross loss from trading activities.

Part B

Short Essay Questions

Answer any 4 questions

Each question carries 7 marks

15. Cost of goods sold 1116000, Sales 1240000, Closing Stock 84000.Find adjusted purchases
    If the question implicitly assumes Opening stock = ₹0 (explicit assumption), then: Adjusted Purchases = ₹1,200,000.
16. Explain that cash book is a journal as well as a ledger account
    As a journal: The cash book records cash and bank transactions chronologically at the time they occur, so it functions as a primary book of original entry (a journal). Each receipt and payment is entered on the date of the transaction (debit for receipts, credit for payments) with narration—this fulfils the journal role of recording transactions before ledger posting.
    As a ledger account: The cash book also acts as the ledger account for cash and bank balances because the balances shown in its cash and bank columns are final, carrying the cumulative effect of transactions. Thus there is no separate cash ledger account required—balances from the cash book are used directly in the Trial Balance and Balance Sheet.
17. What is imprest system of maintaining Petty cash book
    The imprest system is a method for operating petty cash in which a fixed float (imprest amount) is advanced to a petty cashier to meet small, routine expenditures. At regular intervals the petty cashier presents vouchers for payments made and is reimbursed to restore the float to its original fixed amount. Controls petty

expenditure, simplifies accounting for small payments, facilitates verification (vouchers), and reduces administrative burden on the main cash book.

18. Pass rectifying entry for the following: A credit sale of 100 was omitted to be recorded.
    Debtors (or Customer) Account Dr. ₹100
    To Sales Account ₹100
19. The Gross Profit Ratio is 25% on sales. If Sales = ₹2,00,000, find Gross Profit and COGS
    Gross Profit (GP) = 25% of Sales = 0.25 × ₹200,000 = ₹50,000.

    Cost of Goods Sold (COGS) = Sales − GP = ₹200,000 − ₹50,000 = ₹150,000.

    Answer: Gross Profit = ₹50,000; COGS = ₹150,000.
20. Prepare Balance Sheet and find the missing figure: Prepare Balance Sheet and find the missing figure: capital 11000, furniture 12000, computers 6000, cash 6000, reserves 3000, prepaid expenses 2200
    Liabilities
    Capital ..... ₹11,000
    Reserves ..... ₹3,000
    Sundry Creditors (balancing figure) ..... ₹12,200
    Total Liabilities & Equity ..... ₹26,200
    Assets
    Non-current assets:
    Furniture ..... ₹12,000
    Computers ..... ₹6,000
    Current assets:
    Cash ..... ₹6,000
    Prepaid expenses ..... ₹2,200
    Total Assets ..... ₹26,200
    Part C
21. Entity and continuity concepts are Inter related?
    Yes. The entity and continuity concepts are inter-related because the entity concept treats the business as a separate, distinct unit from its owners, and the continuity (going concern) concept assumes that this separate entity will continue to operate in the foreseeable future. When both concepts operate together, financial statements are prepared on the basis that the business exists independently from its owners and will continue long enough to utilise assets, settle liabilities, and follow normal accounting processes without the need for liquidation values.
22. What are adjustments in final accounts? Give three examples.
    Outstanding expenses (e.g., wages outstanding).

Prepaid expenses (e.g., prepaid insurance).

Depreciation on fixed assets.

23. From these figures prepare Final Accounts, Capital ₹3,00,000, Loan @ 10% interest ₹1,00,000, Purchases ₹4,20,000, Sales ₹7,50,000, Opening Stock 1,10,000, Freight Inwards ₹25,000, Freight Outwards 18,000, Office Expenses 42,000, Selling Expenses ₹28,000, Debtors ₹1,50,000, Creditors 95,000, Bank Overdraft ₹45,000, Furniture ₹80,000, Computers ₹60,000, Adjustments: Closing Stock 1,35,000, Prepaid Office Expenses ₹7,000, Interest on Loan for full year due but not paid, Depreciate Furniture by 10%, Depreciate Computers by 20%.
24. **Trading Account**

Particulars	Amount (₹)	Particulars	Amount (₹)
To Opening Stock	1,10,000	By Sales	7,50,000
To Purchases	4,20,000		
To Freight Inwards	25,000		
Total (Goods available)	**5,55,000**		
Less: By Closing Stock	1,35,000		
Cost of Goods Sold (COGS)	**4,20,000**		
To Gross Profit c/d	**3,30,000**		
Total	**7,50,000**	**Total**	**7,50,000**

Particulars	Amount (₹)	Particulars	Amount (₹)
To Office Expenses (net)	35,000	By Gross Profit b/d	3,30,000
To Selling Expenses (including freight out) (Selling expenses 28,000 + Freight outwards 18,000)	46,000		
To Depreciation: Furniture	8,000		
To Depreciation: Computers	12,000		
To Interest on Loan (accrued)	10,000		
Total Expenses	**1,11,000**		

Particulars	Amount (₹)	Particulars	Amount (₹)
Net Profit (Profit for the year)	**2,19,000**		

Balance Sheet (Vertical form) as at year end (₹)

Assets

- Non-current assets (Fixed assets):
  - Furniture (at cost) 80,000
  - Less: Depreciation on Furniture (10%) ..... (8,000)
  - **Furniture (net)** **72,000**
  - Computers (at cost) 60,000
  - Less: Depreciation on Computers (20%) ..... (12,000)
  - **Computers (net)** **48,000**
- Current assets:
  - Closing Stock 1,35,000
  - Debtors (receivables) 1,50,000
  - Prepaid Office Expenses 7,000
  - Cash/Bank (balancing figure — see note) **3,57,000**

Total Assets **7,69,000**

Liabilities and Equity

- Equity:
  - Capital (opening) 3,00,000
  - Add: Net Profit for the year 2,19,000
  - **Closing Capital** **5,19,000**
- Non-current liabilities:
  - Loan @10% 1,00,000
- Current liabilities:
  - Creditors (trade payables) 95,000
  - Bank Overdraft 45,000
  - Interest on Loan (accrued and unpaid) 10,000

Total Liabilities & Equity **7,69,000**